Reciprocity for All

The Participation Right

A white paper for clients and prospective clients on a first-of-its-kind commitment.

When Reciprocal Wealth succeeds, its clients participate in that success.

RECIPROCAL WEALTH, LLC

An Independent, Fee-Only Fiduciary

Sam Chud · *Founder*

Jake Lynch · *Founder*

I. Why We Built It

Our firm is named in recognition of a common principle.

Reciprocity is the idea that a relationship built on trust should confer benefit in both directions — and that the party receiving the trust carries the greater obligation to honor it. Every wealth management firm implicitly depends on its clients for success. Clients supply the assets a firm manages, the loyalty that sustains it and the confidence that allows it to grow. At the outset, we agreed that: if our clients are genuinely instrumental to whatever this firm becomes, then the firm should be structured — contractually, not rhetorically — to recognize that contribution.

When we set out to design Reciprocal Wealth, we asked ourselves a simple question: ***what could we offer to our clients that would be genuinely meaningful, rather than merely marketable?***

We settled on a three-prong test. Whatever we built had to:

1. **Demonstrate Commitment to Reciprocity.** Not a slogan or a service tier, but a durable, enforceable commitment in the same agreement governing fees and duties.
2. **Strengthen the Fiduciary Duty.** The fiduciary standard obligates an adviser to act in the client's best interest. Typically, advisers interpret this duty as confined to advisory services, themselves. At Reciprocal, we take a more holistic view: if the firm itself is ever sold, its clients — whose trust creates enterprise value — deserve financial consideration.
3. **Afford Clients an Economic Benefit Aligned with Growth.** The benefit cannot be just symbolic or static. It should mirror and reinforce the scalability of the firm, so that the long-term interests of the clients and the company point in the same direction.

After many iterations, we arrived at a concept that passed the three-prong test. The result? The **Participation Right** — a contractual term, embedded in our *Wealth Management Agreement*, entitling clients to a portion of the net proceeds if Reciprocal Wealth is ever sold. It costs clients nothing, requires nothing of them and asks nothing in return. We're confident this right delivers a win to clients, a win to the firm, and a win to the industry standard, which we intend to elevate.

II. The Idea in Brief

> **If Reciprocal Wealth is ever sold, then twenty percent (20%) of the net sale proceeds is designated for our clients.** Each eligible client's portion of proceeds is determined by a transparent, codified formula, based on two things: **(i)** the assets we manage for that client; and **(ii)** how long that client has been with the firm. Clients pay nothing for this right, take on no obligations, and they remain free to leave at any time. Payment is contingent on a future sale closing — an event with no timeline or guarantee.

Snapshot: Participation Right	
What It Is	A contractual entitlement in your Wealth Management Agreement.
When It Applies	Only upon the closing of a Qualifying Event, meaning: a sale of all or materially all of the assets or equity of Reciprocal Wealth, LLC.
Assignment Pool	20% of the net cash proceeds, resulting from a sale transaction.
Your Allocation	Determined by a formula, which factors in both your assets under management and the duration of your tenure with the firm.
What It Costs	Nothing. Advisory fees are identical with or without this provision.
What You Must Do	Nothing. No referral. No promotion. No additional commitment.
If You Decline Consent	You still receive your share of proceeds, provided that you remain a client in good standing until the closing of the Qualifying Event.
If You Leave the Firm	Your participation right ends when your advisory agreement ends. There is no penalty for leaving — and no lock-up or claw-back.
Timeline & Guarantee	None. A sale may or may not ever occur. The right has no market value. It cannot be sold or transferred. It is not an investment.

III. The Imbalance We Aspire to Correct

The wealth management industry is ***actively consolidating and the pace has only quickened.*** Independent advisory firms are bought and sold with increasing frequency as scaled platforms acquire smaller businesses across the country. When these transactions happen, an established regulatory process comes into play — and this process directly involves the seller's clients.

Under the Investment Advisers Act of 1940, an advisory agreement cannot simply be handed from one firm to another. When an advisory firm is sold, its clients must be asked to consent to the assignment of their agreements to the buyer. Regulators designed this consent requirement deliberately, so that clients never find themselves transferred to an adviser they did not choose. In effect, the "consent rule" renders the clients as gatekeepers to every sale of an advisory firm.

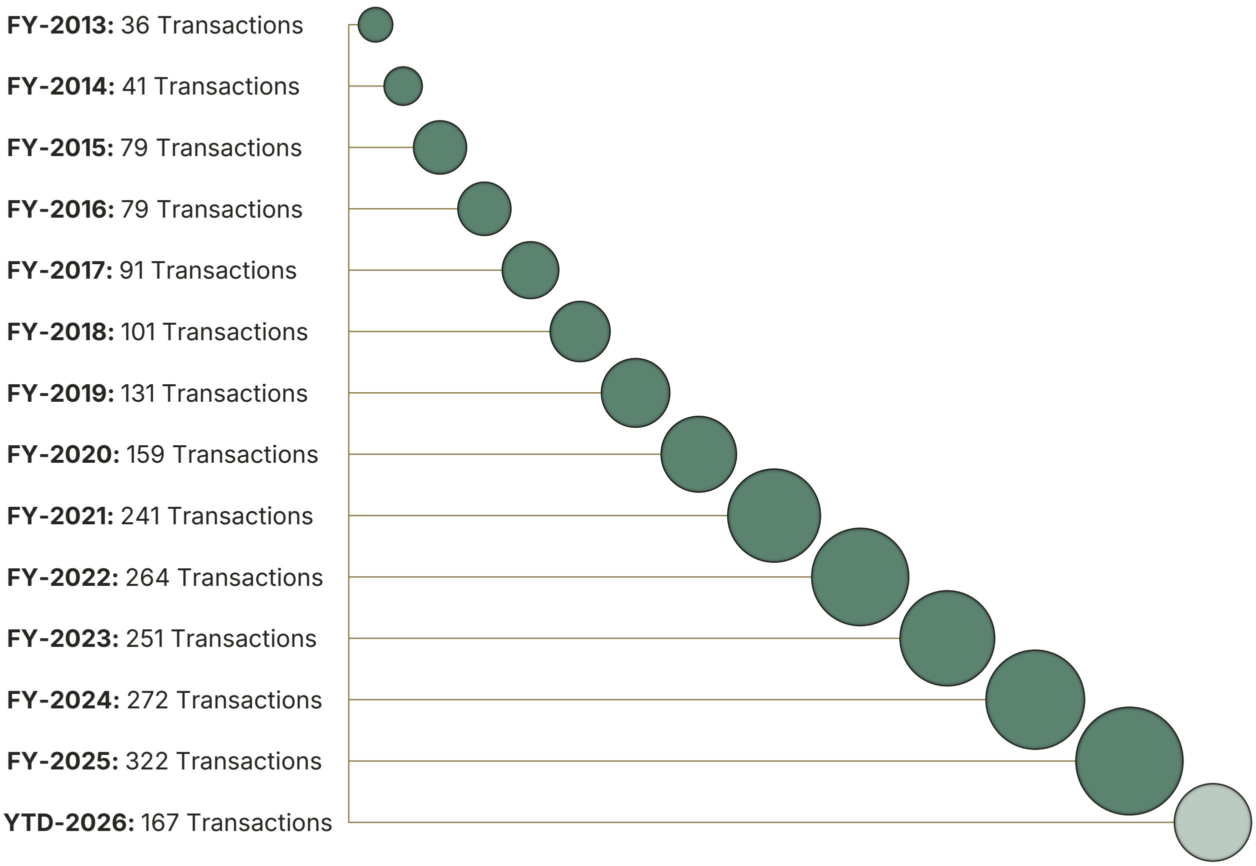
Here is the imbalance: in standard practice, when an advisory firm is sold, the selling adviser captures the entire enterprise value of the business — value that clients helped create through their assets, their loyalty and their trust. The clients — whose consent is required for transaction closing — receive nothing for granting it. They bear the inconvenience of the process and the disruption of the outcome, yet are economically invisible in the transaction they make possible.

Our Participation Right attaches real economic value to this gatekeeper role, which clients must already play. We are simply the first firm — to our knowledge — to conclude that this role merits recognition and to build a mechanism for sharing transaction proceeds with our customers.

What does "actively consolidating" mean? Several industry-focused researchers track M&A activity in the independent RIA space. We've leveraged one such benchmark to construct the below chart on the trajectory and the pace of industry consolidation.

Annual RIA M&A Transactions — *FY-2013 through YTD-2026*

Data Source — *DeVoe & Company* — RIA Deal Book — 2013 to Present



IV. How It Works

Process Trigger — The Participation Right is contractually tied to a *Qualifying Event* — a sale of all, or materially all, of Reciprocal Wealth, LLC — whether structured as an asset- or equity-purchase. Ordinary-course changes, such as admitting a future partner, do not meet the trigger threshold. If a Qualifying Event is ever planned or undertaken, then the firm must formally request client consent to assignment, as regulation requires. That consent request "triggers" the Participation Right and payment is then contingent upon the transaction actually closing.

Eligibility Criteria — Eligibility is intentionally broad and objective. A client qualifies as an *Eligible Participant* if, through the closing of the Qualifying Event, the client: (i) has been with the firm for at least three (3) monthly billing periods; (ii) maintains more than $25,000 in assets under management with the firm; and (iii) has no outstanding and unpaid invoices. There are no tiers, no negotiations, and no discretion involved — the criteria is the same for every client.

Pool & Formula — Upon closing, twenty percent (20%) of the *Net Transaction Proceeds* — the cash consideration received less bona-fide transaction expenses — is designated for eligible clients. Each client's individual allocation is calculated by utilizing the formula that is detailed in **Schedule C** of the Wealth Management Agreement. The formula weights each client's managed assets by that client's tenure with the firm, so that clients whose relationships were most instrumental to firm success — by scope and by duration — receive proportionally more.

Each client's proceeds calculation is entirely self-contained — it depends only on that client's assets and tenure. No client's payment formula is enhanced by referring others. Likewise, it isn't diminished by the participation of other clients. If a Qualifying Event proceeds, each eligible client receives: a preliminary estimate of their individual proceeds when consent is requested; and an updated estimate at least three (3) business days before closing. The Participation Right activates for a single Qualifying Event. It is fulfilled at the closing and thereafter terminates.

Payment Does Not Require Consent — This design choice matters, so we want to be very explicit about it. Your payment is not a reward for consenting to a sale. A client who declines consent — and whose advisory relationship terminates at the closing — is paid in accordance with the same formula utilized for a client who affirms consent, so long as the above eligibility criteria are met until closing. There is no penalty for saying "no" and no bonus for saying "yes."

Protected Percentage — The twenty percent (20%) figure is not a marketing posture that the firm can quietly dilute in future years. As affirmed in our Wealth Management Agreement, the Aggregate Participation Percentage cannot be altered, amended or reduced without the client's prior written permission. In sum, we cannot — and will not — renege or recut this deal. The anti-dilution protection is subject only to modification that law or regulation could someday require.

V. What It Is & What It Is Not

Precision matters here — both for your understanding and for the regulatory integrity of the structure. The Participation Right was deliberately designed as a contractual benefit of the individual client's advisory relationship with the firm — nothing more and nothing less.

IT IS...	IT IS NOT...
... a contractual term of the firm's Wealth Management Agreement — the same document governing fees, services and termination rights.	**... equity**. You hold no membership units, no voting or governance rights, no inspection right, and no place in the firm's capitalization table.
... a commitment to pay eligible clients a portion of the net cash proceeds if, and only if, a qualifying sale transaction closes in the future.	**... a security or investment**. You invest $0 for the right. It has no market value, no maturity and no mechanism for gain before a qualifying event.
... personal to you, automatic in operation and free of any cost, condition or other obligations. The right exists solely between you and the firm.	**... transferable**. It can't be sold, pledged, gifted or inherited. The right ends when exercised or when the Wealth Management Agreement ends.
... disclosed to regulators and embedded in the firm's Wealth Management Agreement.	**... compensation for promotion**. It is not affected by whether you refer anyone to the firm.

VI. Innovating in a Heavily Regulated Industry

To our knowledge, our Participation Right is the first of its kind. That is not a boast, so much as an explanation of why it took careful, iterative work to bring to market. Wealth management is — appropriately — one of the most heavily regulated industries in the country, and any structure that shares a firm's economic success with its clients must be designed with extraordinary care.

We considered — and rejected — the conventional approaches. Direct client ownership would have required a novel corporate form, such as a cooperative, with governance complexity that serves no client's best interest. Granting clients actual or phantom equity would have created an inefficient capital structure and introduced exactly the kinds of securities-law complications that make such arrangements rare and cumbersome on all parties. Both paths would have burdened clients with ongoing obligations — the exact opposite of what reciprocity should feel like.

Rather than inventing a new mechanism, we anchored our Participation Right to a preexisting regulatory framework — a client consent process that federal law has required in advisory firm sales for more than eighty (80) years. We then subjected the design to **multiple independent legal opinions** from outside counsel, examining, among other things, whether a Participation Right could be characterized as a security, an ownership interest or a promotional arrangement — before including it in a single client agreement. The provision is disclosed in our Form ADV Part 2A and embedded in the Wealth Management Agreement, which we file with regulators.

We share this history because it reflects who we are. Innovation in this industry is not supposed to be easy and should never come at the expense of compliance. We intensely labored to build something new that still fits neatly within the four corners of established regulatory framework.

VII. A New Kind of Ecosystem

The Participation Right is our first expression of a broader design and operating philosophy. We intend to build a firm in which clients, founders and employees are unambiguously aligned. All participate in the success of the firm — and none profit at another's expense. For our clients, alignment is structural. As a fee-only fiduciary, we accept no commissions and sell no product. Our only revenue derives from a transparent advisory fee that clients pay. The Participation Right extends this alignment to its logical conclusion: if the enterprise our clients help build is ever sold, they are compensated participants in that outcome, rather than bystanders to it.

Just as important as what our concept creates is what its structure deliberately avoids. Because every client's allocation is self-contained, the Participation Right creates no incentive for us to favor one client over any other and no incentive for clients to serve as salespeople for the firm. Fees are unchanged by it. Freedom to leave is untouched by it. Yet, enterprise growth rewards everyone in our ecosystem. The clients benefit through an expanding pool of potential proceeds. The firm benefits through the durable advisory relationships that reciprocity earns. Crucially, this is all achieved without introducing a single new conflict of interest. We believe that this is what the fiduciary duty looks like when it is taken to heart, rather than merely to compliance — ***a firm configured so doing right by clients and succeeding as a business are one and the same.***

VIII. Common Questions

Q: Do I have to do anything to receive this benefit?

No. If you meet the eligibility criteria — three (3) billing periods of tenure; more than $25,000 under management; and no unpaid invoices — you automatically hold the Participation Right as a term of your Wealth Management Agreement. There is nothing to sign, opt into or maintain.

Q: Does the Participation Right cost me anything?

No. Your advisory fees — in **Schedule A** of the Wealth Management Agreement — are identical to what they would be if this provision did not exist. You provide no additional consideration.

Q: When will a sale happen?

We don't know. We want to be direct about that. There is no current or active plan, timeline or expectation regarding a sale. A Qualifying Event is a future circumstance that may not occur.

Q: What happens if I decline to consent to a sale?

You are paid on the same formula as everyone else, provided you remain an eligible client until the closing. Declining consent means that your advisory relationship will terminate at closing. Finding the right adviser is a personal decision that takes time. The payment is yours regardless.

Q: What happens if I choose to leave the firm?

The Participation Right exists alongside an active advisory relationship, so the right ends when your agreement is either assigned or terminated. There is no lock-up, no claw-back and no penalty for leaving. You may terminate at any time and for any reason, with or without notice.

Q: Can I sell, transfer, or pass this right to my heirs?

No. The right is personal to you and entirely non-transferable. It cannot be sold, pledged, gifted, or bequeathed. This is deliberate: it retains the right's original intent — a benefit of the advisory relationship — rather than a tradable instrument. We encourage anyone with heirs to introduce them to our firm, so they may decide for themselves if our services and offering fit their needs.

Q: Where can I read the exact terms governing this right?

Section 11 and **Schedule C** of the Wealth Management Agreement contain the complete and governing provisions, including defined terms and formulas. This white paper is intended to be an accessible summary of the provisions. We encourage you to read both and ask us anything.